What Are You Worth?

Although I can't answer this question for you personally, I can give you a look at a snapshot of the finances of the typical U.S. household, which I have called "Family, Inc." I can do so using comprehensive data from something called the Survey of Consumer Finances (SCF) conducted by the U.S. Federal Reserve Board. This survey provides a very comprehensive picture of various financial aspects of the personal balance sheet, and I will start with the tangible assets (aka, the left side of the personal balance sheet).

The numbers are slightly out of date because these surveys take time to complete, but in 2004 the typical U.S. family unit had median assets of $173,100, which represents a growth of 21.1% in real (inflation-adjusted) terms since 1998. This median number means that if we were to rank the assets of "richest" to the "poorest" American family, the halfway point would be $173,000. This means that 50% of families have more assets and 50% of families have less. Now, remember, assets don't necessarily imply wealth. If you have $173,000 in assets and exactly $173,000 in offsetting debt, then you have zero equity or net worth and have no real wealth. So for now, let's focus just on assets of the typical American and then later we can get to the debts and family net worth.

The total assets reported in the SCF can be further subdivided into financial and nonfinancial assets; and Table 1.1 shows the median market value of the financial assets that Family, Inc. has accumulated. U.S. family assets include transaction accounts, such as checking, savings, and money market deposit accounts and low risk certificates of deposit. Assets also include tax-sheltered retirement assets such as IRAs (or individual retirement accounts), pooled investment funds (including hedge funds and real estate income funds), and the cash-value of life insurance policies. Other assets include trusts, annuities, managed investment accounts, futures contracts, and loans made to others. There should be no surprises here. In fact, you might recognize your own personal balance sheet as having very similar assets.

Table 1.1 allows us to imagine a typical American family that is in their early forties. They have a checking account and a money market